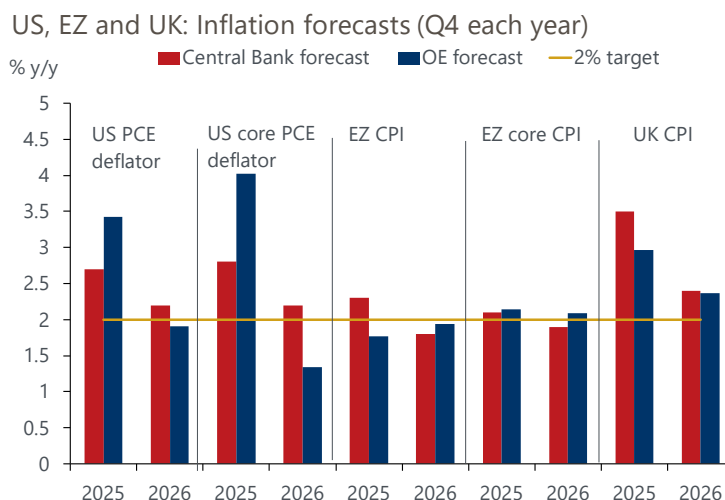


Research briefing | Global

How will central banks react to the trade war?

- For the US, higher tariffs are an adverse supply shock, which reduces growth and lifts inflation. However, for the Eurozone and UK, the rise in US tariffs and heightened trade policy uncertainty are mainly an adverse demand shock, which will reduce growth and inflation.
- We expect CPI inflation in the Eurozone and UK to undershoot the respective European Central Bank and Bank of England forecasts this year.
- So the direction of the appropriate policy response for the ECB and BoE is clearly towards lower interest rates. But the appropriate speed and scale are debatable, reflecting uncertainties over the size and persistence of the disinflationary shock.
- In these circumstances, the ECB and the BoE's Monetary Policy Committee may well follow a 'least regrets' strategy, which seeks to accomplish their low-inflation remits under a wide range of plausible outcomes.
- This could consist of: bringing forward the easing that both central banks envisaged early this year (to 2.0% for the ECB, 4.0% for the UK); giving general guidance that policy will do what is needed to achieve the inflation target without endorsing any particular rate path; revising the outlook if needed in response to incoming guides to activity and prices, plus any further tariff changes; and promptly cutting rates further if necessary.
- Our base case is the ECB will cut to 2.0% in June, and the MPC cutting 25bps in May and 25bps per quarter to 3.25% in mid-2026. If evidence emerges that downward pressures on growth and inflation are greater than we expect, then the outlook would probably tilt to further easing by the ECB and faster easing after May by the BoE.
- Even with lower interest rates, inflation next year is likely to be close to target in the Eurozone, and close to MPC forecasts in the UK.

Chart 1: Our 2025Q4 Inflation forecasts above central bank projections in the US, below in Eurozone and UK



Source: Oxford Economics / Haver Analytics

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Are the trade wars demand shocks or supply shocks?

The response of inflation-targeting central banks to economic shocks depends on the nature of the shock:

- Demand shocks typically push growth and inflation in the same direction, and for these the appropriate monetary policy response is usually straightforward. For example, a positive demand shock (e.g. looser fiscal policy) is likely to lead to higher interest rates, and vice versa.
- Supply shocks typically push growth and inflation in opposite directions, or affect one but not the other. For example, for oil importing countries, higher oil prices lift inflation but reduce real incomes. In these cases, the appropriate monetary policy response is often more uncertain. A common approach is to not react either way (i.e. "look through" the shock) unless inflation expectations react significantly, because without a meaningful shift in inflation expectations the resulting deviation of inflation from target is likely to be temporary, partly due to the offsetting effects on demand.

Tariffs hikes are usually regarded as a classic example of an adverse supply shock. In the near term, countries that lift tariffs on imports suffer higher inflation and reduced real incomes, and hence lower growth. And with China facing much higher US tariffs than elsewhere, supply chains for exports to the US are likely to be reshaped to include less China content and more from other low-cost regions (e.g. emerging Asia). This is likely to add to costs and is also part of the supply shock for the US. Longer term, countries with higher tariffs on imports and/or exports are likely to see lower trade openness, which probably will hit potential growth through weaker productivity because of worse resource allocation.

In addition, many countries face headwinds from elevated [trade policy uncertainty](#), which will encourage firms to delay investment and, to an extent, hiring. These effects will be reinforced by tighter financial conditions, reflecting recent weakness in equities and wider credit spreads.

For the US, the net effect is likely to be higher near-term inflation and weaker growth, with longer-term erosion of potential growth, in line with the textbooks. The [US Federal Reserve](#), facing an adverse supply shock, must balance downside risks to growth with substantial near-term upside effects on inflation from tariff increases and evidence that household inflation expectations have risen significantly. We expect [core PCE inflation](#) will reach about 4.5% this year. Moreover, there is considerable uncertainty over the extent to which fiscal policy will support growth through tax cuts. Under these conditions, early easing is unlikely unless downside risks to growth escalate very rapidly. Our base case is the Fed will be on hold until late this year, and then cut substantially next year and in 2027 as the tariff-related boost to inflation fades and demand weakness dominates.

Chart 2: Stylised illustration of effects of tariff announcements to date (two arrows implies bigger effect)

	US		EZ and UK	
	Growth	Inflation	Growth	Inflation
Tariffs direct effect	↓↓	↑↑	↓	↓
Supply chain disruptions	↓↓	↑↑	↓	↑
Reduced trade openness	↓↓	↔	↓	↔
Weaker global demand (tariffs elsewhere)	↓	↓	↓↓	↓↓
Trade diversion	-	-	↔	↓
Tighter financial conditions	↓	↓	↓	↓
Trade policy uncertainty	↓↓	↓↓	↓↓	↓↓

Source : Oxford Economics/Haver Analytics

But, for many other advanced economies, including the Eurozone and UK, the net effects are likely to be quite different, and mostly a demand shock:

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- For the UK and Eurozone, the trade war is asymmetric, with higher tariffs on exports to the US but no extra tariffs on imports from the US (the EU has paused some proposed tariffs for 90 days). As a result, this is a negative demand shock – due to lower exports to the US – without the adverse supply-side effects such as higher prices and lower import penetration that would stem from higher tariffs on imports to the UK and Eurozone.
- Moreover, the Eurozone and UK are bystanders to the biggest part of the trade war, which is between the US and China. Weaker global growth will exacerbate the hit to exports and investment in the UK and Eurozone, and has depressed some commodity prices, especially oil, which will further lower inflation.
- With China's export sector already experiencing surplus capacity, trade diversion away from the US is likely to cause China's export prices to non-US economies to fall further, reducing import prices in the UK and Eurozone. This is likely to lower Eurozone and UK inflation directly. There may be some offsetting increases in costs if reshaping of China-US trade supply chains also leads to less efficient supply chains for China-Europe trade.
- In addition, unlike the US and China, the Eurozone and UK face additional disinflationary pressure from exchange rate appreciation. So far this year, China's exchange rate has weakened by 9% against the euro and by 6% against sterling, with the RMB/euro rate now at the highest since 2014.

How big are these effects for the Eurozone and UK?

The direct effects of US tariffs on Eurozone and UK growth are significant but relatively modest. In 2019, the gross value added in exports of goods to the US accounted for 1.3% of total gross value added for the UK and 2.2% of GVA for the Eurozone. This excludes the import content of exports from the UK and Eurozone to the US, and includes exports of intermediates from the UK and Eurozone which contribute to other countries' exports to the US. Assuming 100% pass through of 10% tariffs to US import prices (and higher tariffs on cars), with a [demand elasticity of 1](#), the US tariffs would reduce total GVA by 0.1%-0.2% for both the UK and Eurozone.

The indirect effects are less clear. We [recently estimated](#) that adverse effects on business investment from very high trade policy uncertainty could deduct 0.7%-1.5% from GDP in 2025-26 combined for the Eurozone and 0.3%-0.7% for the UK compared to a path in which trade policy uncertainty was at 2023 levels. Trade policy uncertainty has risen further since then and, based on daily figures for April to date, the [April reading of the Caldara TPU index](#) is likely to be more than twenty standard deviations above its 1997-2024 average. Weaker investment may slightly lower potential growth over time, but the effect on demand will exceed the impact on supply over the next few years.

We suspect that in the near-term, upward pressure on inflation in the Eurozone and UK from possible supply chain reshaping will be less important than downward effects from rerouting of China's exports to Europe. But both are very uncertain.

There is no automatic need for firms to reshape supply chains for non-US markets, given that exports to the US account for a minority of China's exports in most sectors, and firms face no extra tariffs outside the US.

One [recent study](#) found that the 2018-2019 US tariffs caused a significant rise in China's exports (and lower export prices) to the EU (which included the UK), with no significant effects for other regions. However, another [recent study](#) concluded that China's exporters reacted by increasing exports of higher quality products to lower-income countries. Effects may be non-linear: [Chinese exporters reported](#) that the main impediment to diverting exports to non-US markets after the 2018-2019 tariffs was the lack of a sales channel and network. With US tariffs much higher now, more Chinese firms may find it worth developing alternative markets, especially in the EU where common standards apply. This probably raises the prospect that China's trade will divert from the US.

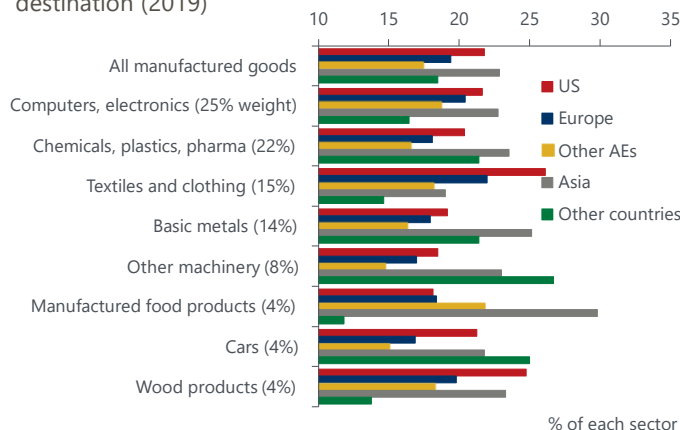
In 2019, exports to the US (including indirect export exposure and excluding the import content of exports) represented 22% of China's total exports measured by gross value added for manufactured goods. Exports to Europe (EU, UK, Norway, Switzerland) were only marginally less (19%). The relative shares of China's exports that go to the US and Europe are similar in most individual sectors. Both are relatively high for computers and electronics (which are 25% of exports of manufactured goods), textiles and clothing (15%), and wood products (4%). The shares of exports that go to the US and Europe are relatively low for basic

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metals (14% of China's exports) and manufactured food products (4%). As an arbitrary example, if a quarter of China's exports of manufactures to the US divert to Europe, this would imply a 27% rise in China's exports to Europe. The effects would be similar across individual sectors.

Chart 3: Similar shares of China's exports of manufactures go to the US and Europe

Split of China's export value added in manufactures by final destination (2019)



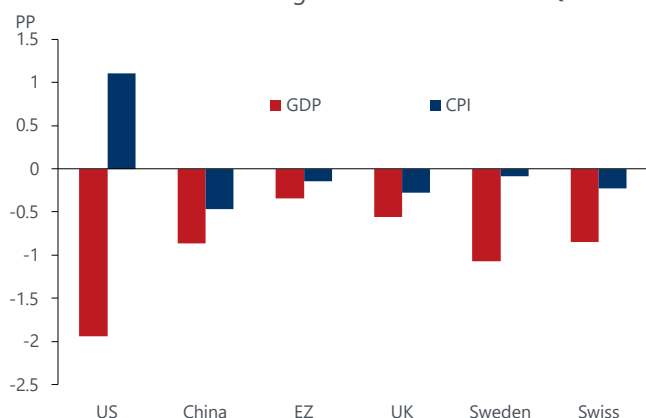
Source: Oxford Economics/Haver Analytics

Generating enough demand to absorb this would probably require a significant drop in China's export prices to Europe. Including intermediate goods, [imports from China](#) account for just over 2% of the Eurozone CPI, and about 6% of non-energy industrial goods in the Eurozone CPI. Hence, if these import prices fall materially, it could create a significant downside risk to our inflation forecasts (which do not include much effect from this). Effects on growth could be ambiguous, with potentially some deterioration in net trade if higher imports from China displace domestic production, but a boost to consumers' real incomes.

Overall, compared to our February forecasts, which included only limited tariff increases, we have cut [our projections](#) for the cumulative rise in GDP over the five quarters from Q4 2024 to Q1 2026 by 1.9ppts for the US, 0.3ppts for the Eurozone, 0.6ppts for the UK, with bigger downgrades for Sweden and Switzerland. We lifted our forecast for the cumulative rise in the CPI over that period by 1.1ppts for the US and cut it by 0.1ppts for the Eurozone and 0.3ppts for the UK, with downgrades also for Sweden and Switzerland. The downgrades to growth for the Eurozone and Sweden would have been larger if not for increases in planned defence spending.

Chart 4: Our forecast revisions since February show a supply shock in the US, demand shock in Europe

Forecast revisions for change in GDP and CPI 2024Q4-2026Q1



Source: Oxford Economics / Haver Analytics

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As a result, our near-term (Q4 2025) inflation forecasts are well above the Fed's March projections for the US, but well below the respective ECB and BoE projections for the Eurozone and UK. Even so, we currently expect that UK CPI inflation will be around 3% y/y for the rest of this year.

Upcoming data may help to better calibrate the scale of these shocks. Key indicators to watch for the Eurozone and UK include: business surveys as guides to the hit on growth; shipping data (see for example [here](#) and [here](#)) as guides to the extent to which China-US trade is being diverted; CPI data (especially core goods) and surveys of manufacturers' expectations for selling prices as guides to the extent to which import prices from China are weakening.

The effect of the trade wars could become more like a supply shock for the EU and UK if they introduce significant retaliatory tariffs on imports from the US. Even then, the supply shock aspects could be limited if tariffs are targeted at sectors where alternative sources are easily available, hence limiting upward pressure on prices. And there probably still would be disinflationary impulses from the diversion of China's exports from the US to Europe. Supply shock effects would become greater if the EU and UK join the US in imposing prohibitive new tariffs on imports from China. But that is much less likely

How will the ECB and MPC respond?

Much of the time, the ECB and MPC (and other inflation-targeting central banks) make a central forecast for the outlook and aim for an interest rate path that keeps that central inflation forecast in line with target two or three years ahead. For example, in Q1, both projected that some further easing would leave inflation around target two-three years ahead. For [the ECB](#), this forecast assumed the policy rate (2.5% then, 2.25% now) would fall to 2.0% this year, which it views as roughly neutral. For [the MPC](#), that forecast assumed Bank Rate would fall from 4.5% to 4.0% early next year, reflecting the Committee's worries that stickiness in pay and services inflation will require a restrictive stance for a while.

Now, facing a weaker outlook for growth and inflation, [the ECB](#) and BoE are likely to conclude that monetary policy will need to be looser than previously envisaged. However, these central banks are also likely to be far more unsure of the economic outlook (and hence of the appropriate policy rate path) than usual. This is because of possible further tariff changes and also because the effects of such high levels of tariffs and trade policy uncertainty cannot be forecast with high confidence.

Rather than relying as they usually do on a central forecast and one or two scenarios, the ECB and BoE are likely to judge that a wide range of outcomes are possible and have relatively tentative views as to which should be the base case.

In these circumstances, the ECB and MPC may well adopt a '[least regrets](#)' approach that aims to ensure a high degree of confidence in achieving their remit under a wide range of plausible outcomes. This could have four elements: (1) bringing forward the easing that was previously envisaged (to 2.0% for the ECB, to 4.0% for the MPC) to at least partly reflect the weaker prospects for growth and inflation; (2) giving general guidance that policy will do what is needed to stabilise inflation on target, without strongly endorsing any particular interest rate path. For the MPC, this will mean dropping their existing guidance of "[gradual and careful](#)" easing (or perhaps just keeping the "careful" phrase), to reflect the possibility that the appropriate pace of easing will not be gradual; (3) using timely indicators of activity, trade, and prices to better calibrate estimates of the trade war's effects, while adjusting scenarios for tariffs and trade policy uncertainty as events unfold; and (4) being ready to promptly ease further if needed.

As an illustration, such a strategy would produce an acceptable outcome if the new US tariffs are removed soon and trade policy uncertainty falls back quickly to normal levels. In this case, early easing might be followed by an extended pause to converge with the interest rate paths used in the ECB and MPC's Q1 2025 forecasts. Alternatively, if the disinflationary effects of the trade war prove greater than expected, then early easing would be followed by further easing.

For the ECB and MPC, a least-regrets approach is probably superior currently to a [risk management approach](#) that leans strongly against a particular risk (in this case, downside risks). For example, a risk management approach might imply very rapid near-term easing (e.g. 75bps-100bps) to avert downside risks to growth, without waiting to see much evidence of weakness in the data. But this would run the risk that, if trade war tensions fade, a rebound in inflation expectations might require a prompt policy reversal.

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Both central banks would probably be reluctant to risk a rerun of the inflation flare-up seen in 2021-2023, and hence unwilling to take that approach of acting ahead of evidence that such rapid easing is needed.

At present, our base case is for the ECB to ease by 25bps in June to 2.0%, with the MPC cutting 25bps in both May and August from 4.5% now, then by 25bps per quarter to 3.25% at mid-2026, and to cut a little further after that. There may be some support among the MPC for a 50bp cut in May, but we suspect the majority will want to see the April CPI and pay data before, if needed, cutting so much.

The ECB and MPC would probably be willing to be more aggressive if evidence emerges (e.g. in business surveys, trade indicators, inflation guides, financial conditions) that the downward effects on growth and inflation from the trade war are bigger than we expect, or if trade tensions escalate and hence expand downside risks. This would probably mean greater easing for the ECB, shifting to a stimulative stance with rates below 2.0%. For the MPC it would probably mean faster easing after May and (at least initially) a quicker return to neutral, for example the possibility of back-to-back cuts in May and June, a bigger cut in August, or back-to-back easing in August and September.